

Indian Economy: Macroeconomic Principles & Fiscal Policy

Chapter 1: National Income

National Income Accounting: GDP, GVA, and Deflator

Gross Domestic Product (GDP) is the total monetary value of all finished goods and services produced within the domestic boundaries of a nation in a given financial year.

Gross Value Added (GVA) measures sector-specific output: GVA at Basic Prices = GVA at Factor Cost + Production Taxes - Production Subsidies. GDP at Market Prices = GVA at Basic Prices + Product Taxes - Product Subsidies.

Real GDP accounts for inflation using a fixed base year (currently 2011-12 in India), while Nominal GDP reflects current prevailing market prices. The GDP Deflator ($\text{Nominal GDP} / \text{Real GDP} \times 100$) measures comprehensive economy-wide inflation.

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Chapter 2: Inflation Metrics

Inflation Indices: Consumer Price Index (CPI) vs Wholesale Price Index (WPI)

Inflation is the persistent and general rise in price levels over time, eroding purchasing power. Demand-Pull inflation arises when aggregate demand exceeds supply, whereas Cost-Push inflation stems from supply shocks in inputs like crude oil.

CPI measures price changes at the retail level from the consumer perspective, compiled monthly by NSO (MoSPI) with base year 2012. Food & beverages carry highest weight (~45.86%). The RBI Monetary Policy Framework targets Headline CPI at 4% with a tolerance band of +/- 2%.

WPI measures wholesale trade transactions, compiled by the Office of Economic Adviser (DPIIT) with base year 2011-12. WPI covers only manufactured goods (64.2%), primary articles, and fuel, completely excluding services.

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Chapter 3: Central Banking

Monetary Policy Framework & RBI Policy Tools

Under the amended RBI Act 1934, the six-member Monetary Policy Committee (MPC) meets bi-monthly to fix the benchmark policy Repo Rate.

Quantitative tools: Repo Rate (rate at which RBI lends short-term liquidity against government securities), Reverse Repo Rate, Standing Deposit Facility (SDF - collateral-free absorption of liquidity), Cash Reserve Ratio (CRR - percentage of NDTL parked as cash with RBI), and Statutory Liquidity Ratio (SLR - percentage held in liquid assets like gold/G-Secs).

Qualitative tools include margin requirements, credit rationing, moral suasion, and direct action to steer credit to Priority Sector Lending (PSL - 40% of ANBC for domestic scheduled commercial banks).

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Chapter 4: Public Finance & Banking

Fiscal Deficit, FRBM Act & Banking NPA Resolution

Fiscal Deficit represents the total borrowing requirements of the government: $\text{Total Expenditure} - \text{Total Receipts (excluding borrowings)}$.

Primary Deficit equals Fiscal Deficit minus Interest Payments.

The Fiscal Responsibility and Budget Management (FRBM) Act 2003 aims for fiscal discipline, targeting a debt-to-GDP ratio of 60% (40% Centre, 20% States) as recommended by the N.K. Singh Committee.

Non-Performing Assets (NPAs) are loans overdue for more than 90 days. Key resolution frameworks include the Insolvency and Bankruptcy Code (IBC 2016) through the National Company Law Tribunal (NCLT) and the establishment of the National Asset Reconstruction Company Limited (NARCL / Bad Bank).